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Maintenance Contracting & Outsourcing

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Operational Excellence, Glencore Copper
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Preface

The Asset Management Framework, Policy and Manuals are intended to provide leading Asset Management practices when applied and will be continually improved for the benefit of Glencore Copper.

The real value of sharing the knowledge gained from the use of these documents will come from continued discussion of the issues and rationale behind each document rather than by reading and interpreting them as individuals.

Readers are encouraged to consider these against our values around Safety, Responsibility, Simplicity, Integrity, Openness and Entrepreneurialism and how they reflect our Purpose – to responsibly source the commodities that advance everyday life. This document lays out the minimum standard for Glencore Copper and compliance to this manual will demonstrate a maturity value equal to Planned/Deployed (3) on the Glencore Copper Asset Management Maturity Scale.

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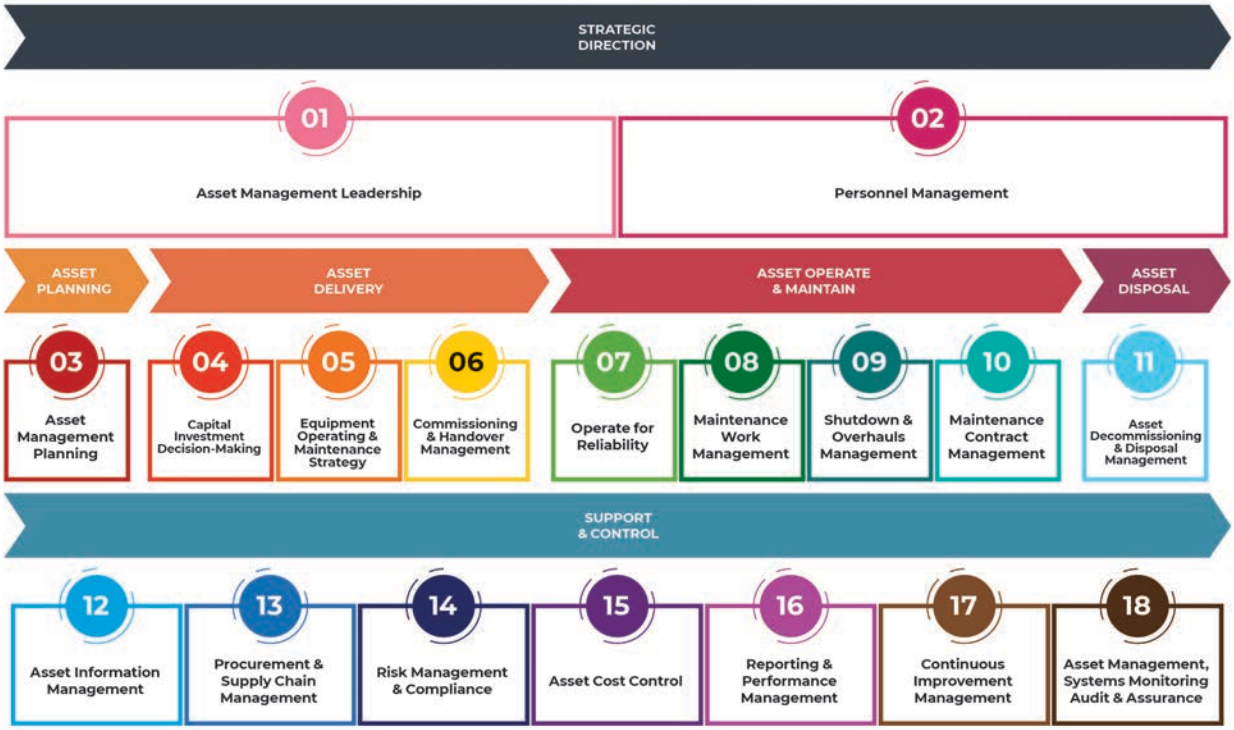
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1. Introduction

The Asset Management Policy and Manuals define how Glencore Copper manages the whole of life of an asset to ensure optimal value is extracted by ensuring that assets are capable of meeting business and stakeholder objectives.

Figure 1-1 describes the high-level Asset Management Framework, which enables Glencore Copper to deliver its Asset Management purpose and vision.

FIGURE 1-1 ASSET MANAGEMENT FRAMEWORK



2. Objectives

The objective of this manual for Maintenance Contracting and Outsourcing is to ensure that the performance of contracted and outsourced maintenance activities are controlled effectively and continually improved through the life cycle of each contract.

The key drivers to achieve this objective include but are not limited to ensuring:

- Glencore Copper retain accountability for contracted asset management activities and effective controls are required to manage risks.
- Contractor competence is controlled to ensure they perform work safely and to a suitable quality through the contract process (contractor selection through to execution).
- Opportunity is recognised in longer-term contracts to deliver performance improvements and control resource consistency.
- Glencore Copper sites actively engage with Original Equipment Manufacturers (OEM) as they have significant influence on the delivery rate of product and available technology improvements.
- That the performance of outsourced activities positively affects an asset's cost-effectiveness, process efficiency levels, resourcing levels and team morale.

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- Key issues are managed in contractor competence and parts supply.
- Commercial risks are apportioned between the contractor and company appropriately and clearly understood.
- Asset management governance is extended to outsourced activities to align with Glencore Copper objectives.
- Significant value is added to performance-based contracts by allowing for adjustments in goals and contract terms for changes to operational goals and objectives.

2.1 Accountabilities

Dedicated resources must be assigned and capabilities developed within each Operation to identify and manage contracted and outsourced maintenance activities that enable effective delivery of the Asset Management objectives.

Assign accountability for each or all the following:

- Contractor Management Policy Developed and Implemented
- Contractor Asset Management Requirements Defined
- Capable Maintenance Contracts
- Contractor Management Controls
- Contractor Delivery Managed.

2.2 Scope

Maintenance Contracting and Outsourcing Management process must be used within Operations to attract, develop and retain sufficient personnel with the appropriate competencies, experience and behaviours to deliver the present and future asset management objectives.

The scope of this manual includes:

- Developing and implementing a Maintenance Contracting and Outsourcing process, ensuring:
    - Appropriate choice of suppliers or contractors including sourcing critical spares from non-OEM's using a risk-based approach
    - Contracting and outsourcing activities align with short and long-term business objectives.
- Defining Asset Management requirements in tenders and contracts.
- Defining Maintenance Contracts, ensuring:
    - Strategies and performance targets are in place to manage contract interactions
    - Roles and responsibilities are in place to manage critical contract interactions.
- Defining Maintenance Contracting and Outsourcing Controls, ensuring:
    - Control of activities and access to information
    - Control of risks
    - Issues are resolved within an acceptable time and solutions are effective.
- Managing Maintenance Contract Delivery.

This manual should be read in conjunction with:

- Element E13 Procurement and Supply Chain Management
- Element E09 Shutdown and Overhaul Management
- Element E14 Risk Management and Compliance
- Element E15 Asset Cost Control
- HSEC Policy and Procedures
- Code of Conduct.

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3. Definitions

Maintenance Contract – the contract between 2 parties which creates an agreement that one party will maintain an asset owned by another party.

Outsourcing - is the commercial practice of contracting a third-party (maintenance organisation) to perform tasks and services typically done by Glencore Copper staff.

OEM - refers to the company that originally manufactured the equipment.

Service Level Agreement (SLA) - defines the level of service you expect from a vendor, laying out the metrics by which service is measured, as well as remedies or penalties if agreed-on service levels are not achieved.

Contracting Out - obtaining, on the best possible commercial terms, goods, specific works, materials, services and expertise that cannot be supplied by the Principal.

4. Approach

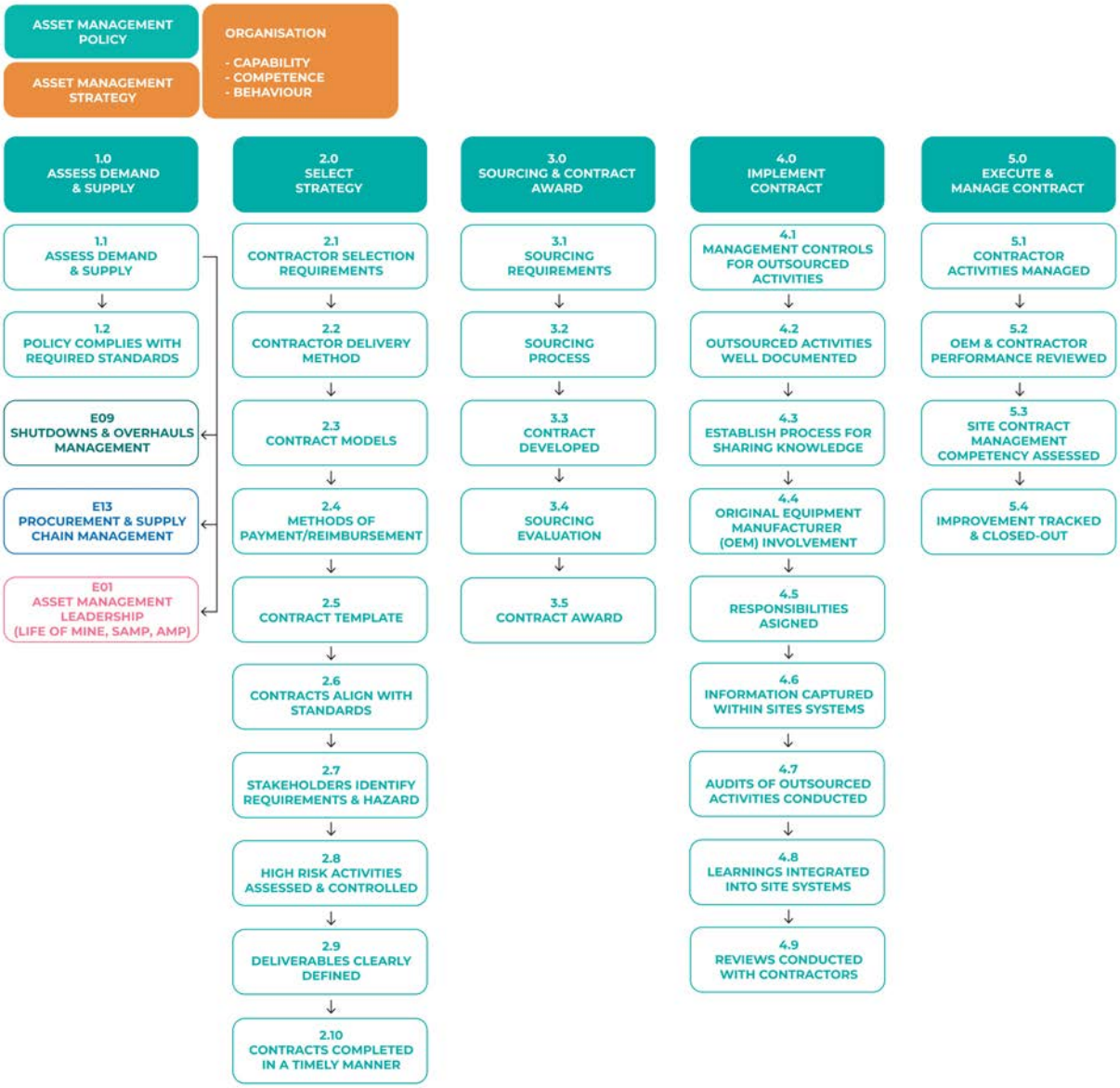
The approach for Maintenance Contracting and Outsourcing Management is described through:

- Process Flow - pictorially illustrates the key Maintenance Contracting and Outsourcing activities, refer to Figures 4-1.
- Process Description – defines in more detail the key Maintenance Contracting and Outsourcing activities, refer to Section 4.2.
- Process RACI Matrix - indicates for each activity, the positions who are Responsible, Accountable, who are Consulted prior to final decision/action and those who are Informed of any outcomes and actions, refer to Section 4.3.

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4.1 Process Flow

FIGURE 4-1 MAINTENANCE CONTRACTING AND OUTSOURCING MANAGEMENT PROCESS



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TABLE 4-1 MAINTENANCE CONTRACTING AND OUTSOURCING MANAGEMENT PROCESS DESCRIPTION

PROCESS STEP	DESCRIPTION
1.0 Assess Demand and Supply	**Assessing the demand for contracted and outsourced maintenance services and the supply of services to deliver on the demand.**
1.1 Assess Demand and Supply	Refer to Element E01 Asset Management Leadership which lays out the requirement for the process that provides visibility regarding demand for maintenance services. E01 refers to the Life of Asset Plan that provides details regarding time frames that assets are expected to be in service. It also states that a Strategic Asset Management Plan is to be developed which can also be referred to. As part of the E01 process the development of Asset Management Plans form a requirement in which the activities required to deliver on the Strategic objective are laid out. The activities include maintenance requirements and are to be consulted to understand the short, medium and long-term demand for maintenance. The supply of contractors should be known to ensure availability when required.
1.2 Policy Complies with Required Standards	The standards by which preferred contractors are selected are to be established, are fit for purpose and to include as a minimum: • Safety Performance and Systems ○ Contractor safety performance shall comply with Glencore Copper safety performance requirements as laid out in the SafeWork Performance Expectations standard (G-S-STD-0005). This document can be located on the Glencore all commodity intranet site "The Core". ○ Contractors shall demonstrate that they have an appropriate safety management system that will enable them to manage the safety requirements of the contract with Glencore Copper. The safety management system shall be complaint with ISO 45001:2018. • Asset Management Systems ○ Contractors shall demonstrate they have an appropriate asset management system and manage and deliver the contract scope requirements. • Asset Management Competencies ○ Contractors shall demonstrate that they have asset management capability and that contract personnel have the appropriate asset management competencies to undertake the contract scope requirements.
2.0 Select Strategy	**Selecting an appropriate Contracting Strategy for procurement of Goods and Services (including Minor and Major Works, Consultancy Services) is one of the most important strategic sourcing decisions that should not be underestimated or undervalued.**
2.1 Contractor Selection Requirements	The Contracting Strategy for all procurement should consider: • What is to be contracted out and how – delivery mode • The preferred packages and size and complexity of each package • The duration of the contracts • Allocation of risks under the Contract – limits of liability • Contract schedules including appropriate critical milestones: ○ Preferred contract templates for the given circumstances

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- Basis for contract award e.g. to the technically acceptable tender yielding the lowest "lifetime" cost to the principal.
- Facilities and services which will (may) be provided by the principal to contractors
- Goods and/or Services which will (may) be provided by the principal to contractors (i.e. long lead items supplied by the Company)
- Proposed use of incentives to encourage and reward contractors, versus guarantees, liquidated damages or penalties to mitigate under-performance
- Progress measurement and reporting methods
- Minimum requirements for contract monitoring/control.

- Financial negotiations including:
  - How contractors should be remunerated by the principal
  - How payment and cost control will be established
  - How negotiations should be handled, particularly amendments to standard general terms and conditions of the selected contract document type.
- The type of contracting (tendered or negotiated contract after preliminary proposal(s) or (design) competition).
- Whether Special Conditions of Contract are required in addition to General Conditions
- Consequences of delay and linkages to key milestones
- Maturity of scope detail and specificity (i.e., engineering progress at time of award)
- Consequences of failure to meet specifications / performance
- Criticality of price
- Expertise required and availability
- Administrative effort, supervision required and availability
- External political, economic considerations
- Local content policy and considerations
- Health Safety Environment and Community (HSEC) issues
- A risk analysis of the contracting alternatives
- Ownership of data and intellectual property (IP)
- How to manage the end of contract, e.g. transitioning to a new contractor or bringing the work back in-house.
- Consider outputs from 5.4 Improvements Tracked and Closed Out.

2.2 Contractor Delivery Method

There are several methods that can be considered for contractor delivery including:

Delivery Method	Brief Description	Examples
Traditional Supply	The principal engages a Supplier or Contractor to supply only based on a principal defined scope	• Fixed Price Lump Sum • Schedule of Rates • Bill Of Quantities
Design (or) Design & Construct	The principal contracts to a single entity that is responsible for design or both the design and	• Design only • Design & Construct

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	construction (or implementation) of the works	• Engineer, Procure & Construct Design, Construct & Maintain
Management	The principal engages the services of a Contractor/Manager but accepts some risk and reward on the cost & time outcomes.	• Construction Management • Engineer, Procure & Construction Management • Project Management • Cost Plus • Cost Reimbursable • Performance Incentive
Maintenance & Service	The principal engages contractors to each carry out maintenance and service within defined specific functions	• General Recurring Service Contract • Maintenance (Equipment) Contract
Relationship	This method of procurement attempts to align the goals of the Principal and Contractor (and other relevant parties) so that all decisions are made for the benefit of the procurement	• Alliance Contracting • Partnering Contract
Financed	This method of procurement involves the project being wholly or partly financed by someone other than the principal.	• Build, Own, Operate (BOO) • Build, Own, Transfer (BOT) • Build, Own, Operate, Transfer (BOOT)

2.3 Contract Models

There are several contractor Models that are available for consideration and include:

Contract Type	Terminology	Comments
BOOT	Build Own Operate Transfer	Total funding, delivery, commissioning and operation of the assets by a contracted third party with guaranteed recovery and production levels specified by the principal. Performance or acceptance tests used to prove the guaranteed performance levels specified. Take or pay for product on an agreed basis – usually per tonne of product. Transfer of facility to Owner at agreed time – usually 10 to 20 years Recourse of the Owner is by damages equivalent to the loss of revenue

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BOO	Build Own Operate	Total funding, delivery, commissioning and operation of the assets by a contracted third party with guaranteed recovery and production levels specified by the principal. Performance or acceptance tests used to prove the guaranteed production levels specified. Take or pay for product on an agreed basis – usually per tonne of product. Transfer of facility to Principal does not occur at any stage. Recourse of the Owner is by damages equivalent to the loss of revenue.
Turnkey	Lump sum Turnkey (LSTK)	Total process design, engineering design, delivery and commissioning of a facility by a contracted third party to specific performance requirements specified by the principal. Payment is fixed price but paid progressively for work completed (usually via milestone payments) with final payment on satisfactory completion of the performance tests. Recourse of the Principal by penalties for performance shortfalls – time, throughput and metal recovery
EPC	Engineering Procurement & Construction	Process design and detailed engineering, procurement, construction and commissioning of the facility by the Implementation Contractor, usually with varying process design warranties, but full mechanical throughput warranties. Fixed price but paid progressively for work completed (usually via milestone payments) with final payment on satisfactory completion of the performance tests. Responsibility for the management of Construction, Contractors and Suppliers rests with the EPC Contractor. Recourse of the Principal by penalties for performance shortfalls – time, throughput and production
Construction Management		Construction Manager (CM) acts as the Principal's Representative for all construction contracts. The CM typically lets and manages all of the procurement and construction to lower tier subcontractors and suppliers. Payment is usually based on a schedule of hourly rates for personnel. This payment may include a Fixed Fee covering corporate overhead and

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		profit, paid progressively based on man-hours expended. Recourse of the Owner usually restricted to re-performance of faulty services, usually capped at a specific amount. Occasionally liquidated damages for delays within CM's control.
Project Management		Project Manager or Managing Contractor acts as the Principal's Representative, for and on behalf of the Owner, for all Contracts. The Managing Contractor typically lets and manages all of the engineering, procurement and construction to lower tier subcontractors and suppliers or EPC Contractors. Payment is usually based on a schedule of hourly rates for personnel. This payment may include a Fixed Fee covering corporate overhead and profit, paid progressively based on man-hours expended. Recourse of the Principal usually restricted to re-performance of faulty services, usually capped at a specific amount. Occasionally liquidated damages for delays within PM's control.
Design & Construct (D&C)		Contractor is responsible for the engineering design (D), construction (C) and commissioning of the works. Usually, a fixed price contract but paid progressively for work completed with final payment on satisfactory completion of performance tests. Recourse of the Principal by penalties for performance shortfalls – time and throughput. Responsibility for the process design often rests with the Owner.
EPCM	Engineering Procurement & Construction Management	Contractor responsible to engineer, procure and manage the construction of the works. Engaged under a Services Contract usually on a cost and fixed fee or similar commercial basis. The EPCM Contractor is responsible for pre-commissioning the facilities and providing support to the Principal's Operations during the commissioning phase. Payment based on a schedule of hourly rates for personnel. This payment may include a Fixed Fee covering corporate overhead and profit, paid progressively based on man-hours expended. Recourse of the Principal usually restricted to re-performance of faulty services, usually capped at

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		a specific amount and maybe linked to the Fee paid to the EPCM Contractor.
E + PCM	Engineer + Project/ Construction Management	Two separate parties engaged by the principal, one to Engineer (design and document) and one to Project and Construction manage (procure, construct and pre-commission). Similar to EPCM for commercial arrangements, but the principal splits the work to suit the available contractor resources. Principal must take management role between the parties and is responsible for the interfaces between them. Suits a traditional schedule when Engineering does not overlap procurement and construction.

2.4 Methods of Payment/Reimbursement

There are several methods that can be considered for payment/reimbursement including:

Method	Comments
Unit price	This contract is based upon a fixed price for an agreed upon unit of supply. Traditional supply contract, ensure clarity is provided for the term of the fixed price and then possible escalation methodologies
Cost Plus (CP)	Contractor provides all the services required to deliver the project on a cost-plus fixed overhead and margin (usually a percentage) for all man-hours expended. Uplift (i.e., % mark-up) on costs for all invoiced services. Progressive payment for all costs incurred. Very limited recourse of the principal for defective work or default.
Schedule of Rates (SoR)	For this type of contract there would be a set of rates for each type of work to be performed (e.g., tonnes of steel to be fabricated, m^3 of concrete to be poured) and also for labour. The cost to the principal is determined by multiplying the rates in the schedule against the measured as installed quantities for each item.
Bill Of Quantities (BoQ)	For this type of contract there would be a bill or list of quantities of the work to be performed and against each item an all-inclusive rate for the item. The cost to the principal is determined by multiplying the unit rate for each item by the quantity for each item.
Lump sum (LS)	Also referred to a Fixed Price. This is similar to a Firm Fixed Price or Fixed Lump sum, except that the price is able to be varied (increased) due to inflation/escalation and possibly other economic factors (such as exchange rate). The price is firm for the detailed scope, but the price is not fixed.

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Cost Plus Percentage of Cost (CPPC)	The CPPC contract allows a reimbursement to the contractor for costs due to contract performance. Additionally, the contractor will receive a certain percent of the cost as their profit. From the Principal's standpoint, this type of contract is not very desirable, for the contractor does not have any incentive to decrease costs. The contractor is influenced to increase costs, i.e. if costs are increased then the potential profit will also increase. With this type of contract, the Owner assumes virtually all of the risk.
Cost Plus Fixed Fee (CPFF)	This contract offers reimbursement to the Contractor for costs of satisfying the contract. Additionally, the Contractor will receive a fixed fee payment, usually based on a percentage of the *estimated costs, as* profit. The fee does not vary with the Contractor's costs unless there is an increase in the scope of work. With this type of contract, the principal assumes a high risk, while the Contractor assumes minimum risk. This type of contract is also susceptible to abuse in that there is a ceiling placed on profit potential, there is no motivation for the Contractor to decrease costs.
Cost Plus Incentive Fee (CPIF)	This contract uses the cost reimbursement method. In a CPIF contract, the Contractor is reimbursed for an agreed upon performance cost along with a pre-established fee plus an incentive bonus. If the ultimate cost is less than the anticipated cost, both the Owner and the Contractor profit by the cost savings based upon a pre-established sharing formula. The sharing formula is usually a percentage reflecting the amount of uncertainty for each party. The Principal and the Contractor share the uncertainty to a certain degree and both still profit. This contract offers an incentive to the Contractor, to control costs and to increase profit.
Fixed Price Plus Incentive Fee (FPPIF)	This contract is possibly the most difficult to administer. It contains a number of different cost/profit schemes such as: target cost, target profit, target price, ceiling price and share ratio. Savings are allotted by a formula (say 70/30) to the Principal and the Contractor, depending upon the amount of uncertainty each party assumes. If the Contractor maximizes profits, an incentive is offered to reduce the costs by producing the product more efficiently. If the expenses surpass the negotiated ceiling price, the Contractor receives the fixed price for their time and effort from the Owner but will make no profit. In this case, the Contractor would also have responsibility of incurring the additional expenses in excess of the ceiling price.
Firm Fixed Price (FFP)	Also called a Lump Sum contact & is commonly used. It is an understanding where the Contractor agrees to provide the materials and/or necessary services at a specific price. The price is not subject to adjustment if the contractor exceeds the

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	anticipated costs. In this case, the contractor has the most risk while the potential for their profit is at a maximum. The contractor is forced to decrease project costs by becoming more efficient. Whatever the costs are, either above or below the contractor's estimate, the contractor will only receive the contracted fixed fee for their services.
Time & Materials (TM)	In this type of contract, time and materials costs are reimbursed based upon performing a prescribed amount of work, previously agreed upon by both the Contractor and the Principal. The Contractor is paid for the amount of time it takes to accomplish the work. The Contractor also provides, but is reimbursed for, the materials to complete the work at an agreed margin.

2.5 Contract Template

There are several contract templates that are available for contract development which include:

Standard Template	Brief Description	Examples
Forward Purchase Agreement (FPA)	This contract is used for the provision of Goods over a period of time.	Schedule of Rates. Period contract.
Contract for Recurring Services	This contract should only be used for the provision of Services (not goods) over a period of time.	Schedule of Rates. Period contract.
Consultancy Services (with Design)	This contract should only be used where a consultant is being retained to provide professional services, to achieve a particular task for particular works and there is a design component.	If the professional services are more complex a detailed program of works is required.
Consultancy Services (without Design)	This contract should only be used where a consultant is being retained to provide professional services, to achieve a particular task for a particular works or services not requiring design.	Professional services can be broad, including matters related to non-construction activities.
Labour Hire	This contract should only be used for hiring personnel as trades or unskilled labour from a registered labour hire company over a period of time.	It can be used to enter into an umbrella agreement and provide requests for labour from time to time.

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	Wet Equipment Hire Agreement	This contract should only be used when equipment is hired form a third-party supplier and the supplier also provides the personnel who will operate the equipment.	The wet hire rate includes the equipment and operator costs.
	Dry Equipment Hire Agreement	This contract should only be used when equipment is hired form a third-party supplier and the principal provides the personnel who will operate the equipment.	The dry hire rate is only the equipment costs.
	Equipment Maintenance	This contract should only be used for the maintenance of equipment owned by the principal over a fixed period of time.	There are other Equipment maintenance Supplier/Contract models like a MARC contract, i.e. Caterpillar Maintenance and Repair Contract.
	Contract for the Supply of Goods and/or Equipment (with design) Option (without design)	This contract should only be used for the supply of major goods or pieces of equipment.	It is not an installation contract. If the equipment is to be installed by the supplier, a Major Construction contract (for designed items) or the Minor Construction or Installation should be used.
	Minor Construction or Installation Contract (with design) Option (without design)	This contract should only be used for construction minor works with a low risk of: time extension, discrepancies and inaccuracies in the specifications, drawings and conditions on site being different to Contractor expectations.	
	Major Construction or Installation Contract (with Design) Option (without design)	This contract should be used for construction of major items of work and installation of major items of equipment, whether there is or not a design component.	
2.6 Contracts Align with Standards	Maintenance contracts shall align with Glencore Copper contracting standards and local contracting processes.		
2.7 Stakeholders Identify Requirements and Hazards	The stakeholders responsible for developing and implementing maintenance contracts shall determine the requirements of contracts from tender to contract execution. All hazards associated with the contract shall be identified and action plans put in place to manage those hazards. The contract requirements should be		

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	outcome-based and requires the contract specification to detail what is to be achieved from the contract as opposed to how it is to be achieved.
2.8 High Risk Activities Assessed and Controlled	The contract shall define that the contractor is to identify risks and undertake risk assessments on those activities deemed high risk as per Glencore Copper Corporate Risk Framework. Risks to be controlled by ensuring that contractor performance is clearly defined and measured as part of the contract requirements.
2.9 Deliverables Clearly Defined	The contract shall clearly define the contractors' deliverables or service level with no ambiguity, items to consider include: • Ongoing standards of service or service level agreement (SLA) required, including: ○ Contractors shall always comply with all relevant external and internal risk management and asset management framework, manuals, standards and procedures. ○ Safety, cost, time and quality performance. • Ongoing standards of documentation and reporting, including: ○ The ownership and management of all asset management information generated or used in contracted services shall be defined. ○ Information shall be available in a contractor information management system/s and it shall be integrated with Glencore Copper's site systems as necessary. • Accessing of documentation and reporting. • Establishing supervision requirements. • Develop Scope of Works: The Contracts Advisor is required to provide the Contract Owner with a template for the scope of work document, amended to suit the particular works, a scope of work development checklist is available to assist the Contract Owner with the preparation of the appropriate documentation detail. It is the responsibility of the Contract Owner to ensure that a detailed scope of work document accompanied by technical specifications and layout drawings is appropriate for the size and complexity of the work, it should as a minimum: • Clearly define what work is required and how and when it is to be completed • Be written in clear and simple terms (separate tender schedule for drawings and specifications) • Be reviewed by any other person involved in the construction, commissioning, operation or maintenance of the completed work • Use the standard Site scope of work format • Include a comprehensive review of all Site Sustainability issues and requirements for work on site where applicable. The scope of work should also be reviewed by the eventual user of the completed work to ensure it is going to meet that department needs. Work performed on assets owned by the operation are to be managed through the Element 08 Maintenance Work Management process via Work Orders. This requirement should be negotiated during contract negotiations and should be specified in the contracting agreement.

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2.10 Contracts Completed in a Timely Manner	The contract shall clearly define the contract duration and the duration of each contracted service if applicable. The contractor shall define how the contract will be complete within the contracted timeline.
3.0 Sourcing and Contract Award	**Developing and implementing capable maintenance contracts aligned with Glencore Copper's contracting standards and site contract processes.**
3.1 Sourcing Requirements	The following points should be considered when tendering: • Whether the tender package fully details the work required under contract • For each tender, the tender document shall nominate an appointed Contract Owner • All information provided to a tenderer must be treated as confidential • All aspects of the tender process must comply with Glencore Delegation of Authorities (DoA) • All aspects of tendering must be conducted with honesty and integrity • All possible conflicts of interest to be reported / recorded in accordance with the Glencore Code of Conduct. • Site representatives must not engage in any practice which gives any one tenderer an improper advantage during the tender process. **Budget Review:** The Contract Owner should liaise with the Commercial department to verify that the works required are within the budget for that period when the works will be executed. **Pricing Model:** Tender schedules for pricing should be developed to reflect the requirements of the scope of work and will assist in the evaluation of tender bids or the subsequent management of the contract. Refer to process step 2.4 for pricing methods. **Confirm Program:** The Contract Owner must submit to the Contracts Advisor a draft Program in a form satisfactory for the tender process which identifies how the Contractor will perform the works for the term of the Contract. The Program will form part of the contract and highlights the scope of work key milestones that the tenderer needs to respond to. Where changes to the Program is identified and duration of these activities within the scope of work change, these changes should be promptly provided to the tenderer for their considerations as this may cause an impact on tender price. **Preferred Tenderers** A list of preferred tenderers who are capable of doing the work is to be develop, this may come from sites preferred contractor or service provider list.
3.2 Sourcing Process	A tender evaluation process is to be developed and take into consideration weighting based on the risk assessed for each tender and contract. When reviewing the suitability of contractors, the Contract Owner should consider the following: • Whether they have contractor accreditation

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- Whether they can comply with the Site Sustainability systems and procedures; and
- Knowledge of contractor's previous Glencore site experiences.

Tender schedules are to be developed to include as a minimum:

- Contractor Accreditation Agreement number if a current accredited contractor
- Schedule of Contract general term departures and the tenderers cost to comply
- List of KPI assessment criteria and relationship to contractor performance
- Detailed pricing breakdown including schedule of rates for labour and equipment, subcontractor rates, fixed portions, lump sum amounts and escalation formula
- Delay costs and daywork rates where applicable
- Estimated man-hours involved in the works
- Any additional materials/equipment/facilities which the contractor will provide
- Details of the contractor manning and site accommodation requirements
- Details of any proposed subcontractors or supplier
- Details of contractor plant and equipment, including age and maintenance
- Program for the work, or at least planned commencement and completion dates
- Dates/times when the contractor would require access to work areas
- Proposed level of supervision
- Contractor warranties, guarantees and commitments
- Details of previous experience on similar works
- Resumes of proposed site supervisors, safety officers, etc; and
- Contractor plan for compliance to Site Sustainability systems and procedures.

Select Contract Document Type:
The selection of the contract document type is important to ensure the overall success of the contracted service. The selection of contract document type should involve an assessment of the risks associated with works and the intent of the scope. This is completed in conjunction with the Contracts Advisor.
Key considerations when assessing which contract type should be selected include:

- Scope of Work intent
- Design criteria and requirement for Professional Indemnity insurance
- Equipment supply with commissioning
- Construction and Installation with Practical completion, Defects Liability and warranty periods
- Insurance types and amounts as a minimum; and

Summary of major contract template (with schedules) types:

- Major Construction or Installation Contract (without Design)
- Major Construction or Installation Contract (with Design)
- Wet Equipment Hire Agreement
- Dry Equipment Hire Agreement
- Consultancy Services (without Design)

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	• Consultancy Services (with Design) • Equipment Maintenance Contracts • Contract for Recurring Services • Labour Hire • Contract for the Supply of Goods and/or Equipment (without design) • Contract for the Supply of Goods and/or Equipment (with design) • Minor Construction or Installation Contract.
3.3 Contract Developed	The contract document is to be developed so that it can be released with the tender pack to ensure that the tenderers are able to price the contract appropriately and provide details regarding departures or clarifications. The contract document particulars shall include the following as a minimum: • Frequency of review and assessment meetings (and attendees) • Amount of each Unconditional Undertaking • Requirement for Parent Company Guarantee • Margin for preliminaries, profit and overheads • Liquidated Damages for late completion amount, which needs to be a genuine estimate of the financial loss to the business if the contractor is late in delivering the contract scope. • Insurance requirements and amounts where applicable including - contract works, professional indemnity, public and product liability, Workcover, vehicle/equipment and transit insurances. This typical draft contract is based on the standard Glencore contract format and provided to the tenderers for their understanding and assessment: • General terms and condition amendments (subject to Glencore legal counsel review) • Scope of Work at the point of tender (this schedule may vary before contract execution) • Drawings, Specifications and relevant quality and compliance Standards at the point of tender. Best practice is to not include these Standards in the scope of work (this schedule may vary before contract execution) • Program of works at the point of tender and provides the tenderer with a base line program of the Site requirements (this schedule may vary before contract execution) • Payment and pricing schedule and should be completed to reflect the tender schedule format. Include payment milestones, lump sum and price break downs, escalation formula if not fixed price and KPI assessment impacts on price • Delay costs and daywork rates where applicable • Details of Principal supplied items, services and amenities • Details of the Glencore Group Policies Site Sustainability Standards and Policies • Standard form of parent company guarantee, (if required) • Standard form of statutory declaration.
3.4 Sourcing Evaluation	Tenderers are to be given sufficient time to evaluate and prepare their response documents. Tender and contract documents are to be issued to tenderers.

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	A Tender evaluation team shall be appointed, whose purpose it is to evaluate and recommend the selection and award of the tender. This team comprises as a minimum of the Contracts Owner, a Sustainability representative, the Contracts Advisor, a Financial Representative and a Technical Representative. The Contract Advisor will facilitate the commercial compliance review including matters related to legal amendments, commercial conditions including insurance and securities, pricing comparisons and financial health compliance. Tenderers are to be evaluated on the following criteria: • **Sustainability Compliance -** Where the tender schedules have included requirements for safety management information, compliance plans or resumes of proposed safety personnel, these should be forwarded to the Site sustainability department or equivalent for review. • **Conditions of the Contract -** Amendments or departures to standard conditions of contract included by the tenderer shall be scrutinised and assessed for conflict with the conditions of contract contained in the draft contract document. • **Financial -** evaluation of tenders should always focus on total costs being applied to all tender submission to ensure equitable evaluation. • **Past Performance -** Consideration shall be afforded to tenderers' previous contractual performances and circumstances surrounding these performances. If previous poor performance is cited as a reason for not recommending a particular tenderer, the Contracts Owner should be able to provide sufficient details of the previous poor performance. Tenders are to be evaluated by the tender evaluation team, who will recommend a preferred contractor subject to the following being fully completed: • Confirmation from the Contracts Advisor that all legal, commercial and pricing matters have been resolved • All clarifications between both parties have been resolved • The scope of work, technical specifications and drawings changes will have no material impact on the contract preparation; and • Reconciliation of the tender matrix and weighting provides a successful tenderer. The Contracts Advisor is able to advise the successful tenderer of their status as preferred contractor subject to internal approvals and start the contract preparation process.
3.5 Contract Award	The contract is to be awarded to the preferred tenderer on completion of: • The final Scope of Work is updated from the initial tender submission • Ensuring that all specifications and drawings have been reviewed and certified as suitable for release to the Contractor • Updated Contract program reflects pending Contract execution date • Price and Payment Milestones have been agreed with the Contractor and reflect any late changes to the scope of work • KPI measures applicable to the Contract as agreed • Maintaining regular communication with the Contract Advisor in relation to all meetings and notes received from the preferred Contractor

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	• Ensuring that all Contractor activities are in the best interest of the Site and identifying opportunities for Contractor improvement • Making recommendations to the Contract Advisor/Commercial Department regarding Contractor performance, variations and structure of the ongoing Contract • Ensuring the contractor has completed the accreditation process. • Ensuring that the contractor entity particulars are verified and included in the contract • Ensuring that the contractor insurance policies have been affected as required by the contract • Negotiating and finalising general terms and conditions amendments • Liaising with Principal's Representative/Contracts Owner to ensure final scope of works, technical specifications, drawings are included in the Contract • Negotiating and finalising payment milestones, escalation conditions and margins applicable for scope of work variations.
4.0 Implement Contract	**Implementing management controls for outsourced activities to confirm asset management requirements are always met.** **The more critical the contract is to the business; the more controls need to be in place. For example, for high criticality, high expenditure contracts, there needs to be a detailed contract specific Service Level Agreement (SLA) defined. In contrast, for low criticality, low expenditure contracts, a simple requisition is sufficient.** **The controls need to cover safety, cost, quality and time.**
4.1 Management Controls for Outsourced Activities	The scope, interfaces and control processes shall be documented for all contracted asset management activities that impact Glencore Copper sites and key representatives. Key Performance Indicators are developed and implemented.
4.2 Outsourced Activities Well Documented	Asset management technical requirements and specifications shall be defined and documented in the contract. The ownership and management of all asset management information generated or used in contracted services shall be defined.
4.3 Establish Process for Sharing Knowledge	A process of sharing Asset Management knowledge between Glencore Copper and the contractor shall be defined and established.
4.4 Original Equipment Manufacturer (OEM) Involvement	OEM is the preferred outsourcing strategy and where deviation from the strategy is identified then the need and value of this strategy is to be defined, including market competitiveness, risk management and asset integrity needs. Where OEM equipment design and modification improvements are identified consideration should be given to approach the Original Equipment Manufacturer to discuss the improvement. Should the OEM indicate that they are not able to provide assistance then consideration should be given for internal improvements to be conducted as long as there is not a risk of breaching warranty requirements. Where practicable the support of the OEM should be established for existing equipment such as: • On job training • Product training

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	• Equipment repair • Equipment servicing • Software updates / maintenance (where applicable).
4.5 Responsibilities Assigned	Organisational structure, roles and responsibilities shall be defined to manage outsourced services. Each site shall assign responsibilities to individuals for the management of outsourced activities.
4.6 Information Captured Within Sites Systems	Where Maintenance and Repair Contracts (MARC) are used and the assets are owned by the contractor, then the contractor shall manage the asset through the contractor's own work order system, unless the contract states otherwise. Where assets are managed through the contractor work orders the contractor is to provide contractor and contract performance reports to site. Site is responsible for defining the timing and content of such reports. All the standard requirements related to work execution must also apply to contractors, including the following: • No Work Order (WO), no work • Permit to work requirements • Risk assessment • Completion of WO's with appropriate feedback for capture in the CMMS. The return and completeness of the WO is a pre-requisite for payment of the contractor.
4.7 Audits of Outsourced Activities Conducted	Regular reviews and audits shall be conducted on outsourced activities to ensure contract and Asset Management Framework requirement are being met.
4.8 Learnings Integrated into Site Systems	The contractor and Glencore Copper are responsible for identifying Asset Management learning opportunities and improvements as part of the contract deliverables. Opportunities shall be identified at both corporate and site levels and implemented in systems as necessary.
4.9 Reviews Conducted with Contractors	Each site is responsible for determining review periods and review requirements with contractors. The extent of the review shall align to the whether the contract is tactical or strategic and to consider the risk and complexity of the contract.
5.0 Execute and Manage Contract	**Managing all contracting to confirm delivery of asset management objectives for contracted and outsourced activities.**
5.1 Contractor Activities Managed	A Contract Owner shall be nominated and receive instruction on the Contracted work from the time the scope of work is being developed (Contract Document Checklist User Form) so that person may coordinate the Contract from the outset. This will include transparency of the terms and conditions of the contract. The duties and responsibilities relating to the implementation, monitoring and control of the Contract shall be clearly established and communicated. All work under the Contract must be carefully evaluated and systems of work designed to effectively control risks. Work procedures and guidelines must demonstrate due consideration to legislative requirements, advisory procedures, codes of practice, relevant Safety Standards and Glencore Sustainability system.

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	Contractors are required to develop work procedures and obtain permits in accordance with the Site's requirements and maintain a register of all work procedures. A copy of all approved work procedures must be kept on site for the term of the Contract. A communication structure must be established between the Contract Owner and Contractor. A minimum meeting and reporting frequency shall be defined within the Contract. Ensure contractors are meeting contractual obligations and activities undertaken by contractors are managed as per the contract and Glencore Copper requirements.
5.2 OEM and Contractor Performance Reviewed	OEM and contractor performance shall be reviewed against contractual key performance indicators. Action plans are to be put in place to address those areas that are not meeting performance standards. Improvement opportunities to be identified, documented and managed by Glencore Copper and the contractor. Monitoring and reviewing will be the responsibility of the Contract Owner (refer to Contractor Audit Checklist User Form). Appropriate means and responsibility for performance reviewing Contract work will be established at the outset of any Contract. Techniques for monitoring and evaluation may include: • Inspections of Contractor facilities • Review of Contractor personnel processes • Adequacy and compliance audits – internal and external. The performance reviews will be conducted on an agreed frequency, there is an opportunity for the Contractor to conduct rolling self-audits subject to agreement between both parties as to the process using the Contractor Audit Checklist User Form. The performance review shall include: • Contract Conformance and Objectives • Contract Work Performance • Contract Financials • Contract Administration • KPI assessment measurement.
5.3 Site Contract Management Competence Assessed	Site contract management competency requirements and key performance indicators are to be developed and implemented. Assessment of site contract management shall be undertaken on a regular basis. Any Competency gaps identified shall be discussed with the site contract management representative and action plans put in place to ensure that the site contract management is able to close those gaps. The Contract Sponsor (Senior Management) who owns the budget is ultimately responsible for contract but may wish to choose to delegate that authority to the Contract Owner.

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The Contract Owner (Functional Manager) is responsible for the contract execution, but may wish to delegate
The Contract Owner will manage work and Contractors in accordance with Site Sustainability systems and will work through the Sustainability checklists (Contract Owner Audit Checklist User Form) at various stages of the Contract to establish the extent of Sustainability systems and intervention requirements.

The Contract Owner's responsibilities include, but are not limited, to:

- Management of Contractor work under the Contract
- Administration and compliance to the conditions of the Contract
- Completing Contractor performance assessment actions as required
- Directing all Contract variations to the Contracts Advisor
- Processing Contractor Site Instructions and claims
- Accountability for the cost, time and quality performance of the Contract
- Ensuring the Contractor's compliance to the terms and conditions of the Contract
- Dispute resolution with support from the Contracts Advisor; and
- Progressing Contractor invoice payments.

In addition to the accountabilities and responsibilities defined in this user guide there are a number of other general responsibilities for the Contract Owner which include:

- Ensuring that all Contractor activities are in the best interest of the Site and identifying opportunities for Contractor improvement:
- Accurately implementing and measuring performance of the scope of work, program, materials, equipment, standards and all technical information applicable under the Contract
- Making recommendations to the Contract Advisor/Commercial Department regarding Contractor performance, variations and structure of the ongoing Contract
- Accountability for the Sustainability performance of the Contractor
- Accountability for the housekeeping and environmental performance of the Contractor; and
- Ensuring the Contractor is informed of the name of any person delegated with responsibilities of a Principal's Representative during period of absence.

The Contract Advisor provides a governance and support role and sits within the contract department.

The Contract Advisor will support the Contract Owner in the following administrative matters related to Contract and Contractor management:

- Ensure that all Contract activities are in the best interest of the Site
- Provide assistance as required to the Contract Owner and facilitate Contractor performance assessment meetings
- Process Contractor accreditation before commencement of services
- Provide commercial assistance regarding Contract variations, claims, disputes, performance assessment and payment
- Maintain Contract documentation, amendment approvals and ERP (SAP) module entries

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	• Attend and facilitate Contractor assessment reviews and subsequently amend Contract document as required for variations and extensions • Manage Contract conditions related to practical and final work completions to ensure parent company guarantees, securities, retentions, defects liability period, warranties, guarantees and any liquidated damage matters are commercially processed.
5.4 Improvements Tracked and Closed Out	Improvement opportunities that have been identified and documents must be tracked and closed out in a timely manner. At the completion of a Contract, the Contracts Advisor will arrange a meeting (Contract Completion Report User Form) with the Contract Owner. This meeting is important because it further reinforces Contractor operational, financial, management, administration and safety performances should the Contractor be considered for future projects. Some guidelines for consideration are: • Look at the overall performance/effectiveness of the Contract • Provide both appreciative and constructive feedback • Evaluate against Contractual expectations • Measurable results – incidents, competencies, etc. • Subjective results – behaviour, cooperation, etc. Contract completion report as a minimum includes comment and finalisation of the following matters: • Contractor payment summary reconciled and completed • Variations approved and finalised • Final Payment claim from Contractor received • Extension of time matters resolved • Final Payment Determination by Site processed • No outstanding Contractor claims, potential charges • All technical and Quality Assurance/Quality Control (QA/QC) deliverables finalised and received • All Contract and tender documents are archived • Contract closed out in SAP; balance of funds realigned • Commissioned - long term spares on site • Certificate of Acceptance completed and sent to Contractor • Contractor confirms there are no outstanding or pending disputes, legal, commercial, Human Resources (HR) or Industrial Relations (IR) matters to which Site should be advised • Contractor's facilities and temporary services removed and rehabilitated. • Lessons learnt from the contract, to aid in future contract and contractor improvement.

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4.2 Process RACI Description

The RACI matrix below in Table 4-2 addresses the high-level functional elements of the Maintenance Contracting and Outsourcing Management process. For the overall Asset Management RACI matrix, refer to the Asset Management Intranet page.

The codes used in the RACI analysis are defined as follows:

TABLE 4-2 PROCESS RACI

R	**Responsible**	The "doer" – the individual(s) who will perform an activity or directs others to perform the activity.
A	Accountable	"The buck stops here" –the individual who ultimately "owns" the activity – there should only be one person.
C	Consulted	Person that needs to provide feedback and contribute to the activity.
I	Inform	The individual(s) who needs to be informed after a decision or action is taken if relevant. (via 1-way communication).

Function / Process Step	Contract Sponsor	Contract Management (Owner)	Operations Management	Maintenance Planning and Execution	Contract Support (Advisor)	Legal	HSEC	Reliability and Engineering	Sourcing
1.0 Assess Demand and Supply									
1.1 Assess Demand and Supply	C	A	R	R	R	C	C	R	R
1.2 Policy Complies with Required Standards	C	A	R	R	R	C	C	R	R
2.0 Select Strategy									
2.1 Contractor Selection Requirements		A	C	C	R	C	C	R	R
2.2 Contractor Delivery Method		A	C	C	R		C	R	C
2.3 Contract Models		A	C	C	R		C	R	C
2.4 Methods of Payment/Reimbursement		A	C	C	R			R	C
2.5 Contract Template		A	C	C	A		C	R	C
2.6 Contracts Align with Standards		R	C	I	A	C	C	R	C
2.7 Stakeholders Identify Requirements and Hazard	C	A	C	C	R	C	C	C	C
2.8 High Risk Activities Assessed and Controlled	C	A	C	C	R	C	C	C	C

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Function / Process Step	Contract Sponsor	Contract Management (Owner)	Operations Management	Maintenance Planning and Execution	Contract Support (Advisor)	Legal	HSEC	Reliability and Engineering	Sourcing
2.9 Deliverables Clearly Defined		A	C	R	C		C	R	C
2.10 Contracts Completed in a Timely Manner		A	I	R	C	C	C	R	C
3.0 Sourcing and Contract Award									
3.1 Sourcing Requirements	C	R	C	C	A	C	C	R	C
3.2 Sourcing Process		A	C	C	R		C	R	C
3.3 Contract Developed	C	A	C	C	R	R	C	R	C
3.4 Sourcing Evaluation	C	A	C	C	R		C	R	C
3.5 Contract Award	C	A	C	C	R	C	C	R	C
4.0 Implement Contract									
4.1 Management Controls for Outsourced Activities	C	A	C	R			C	R	
4.2 Outsourced Activities Well Documented		A	C	R			C	R	
4.3 Establish Process for Sharing Knowledge	C	A	C	R	C	C	C	R	C
4.4 OEMs Involvement	C	A	C	R	C		C	R	C
4.5 Responsibilities Assigned	C	A	C	R			C	R	
4.6 Information Captured Within Sites Systems		A	C	R	R	R	R	R	R
4.7 Audits of Outsourced Activities Conducted	I	A	C	R	C	C	C	R	C
4.8 Learnings Integrated into Site Systems	I	A	C	R	R	R	C	R	C
4.9 Reviews Conducted with Contractors	I	A	C	R	C	C	C	R	C
5.0 Execute and Manage Contract									
5.1 Contractor Activities Managed		A	C	R			C	R	
5.2 OEM and Contractor Performance Reviewed		A	C	R	C	C	C	R	C
5.3 Site Contract Management Competency Assessed		R	C	C	A	C	C	R	C
5.4 Improvements Tracked and Closed Out	I	A	C	R	R	C	C	R	C

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TABLE 4-3 FUNCTIONAL DESCRIPTIONS

Function	Description
Contract Sponsor	• Provides input regarding the assessment of the demand and supply for contracting and outsourcing needs. • Provides input into the identification of maintenance contract stakeholders and the assessment of risky activities. • Provides input into contractor sourcing and contract award. • Provides input regarding contract implementation with respect to implementing management controls, knowledge sharing processes, the involvement of OEM's and assigning responsibilities for contract implementation.
Contract Management (Owner)	• Ensures that the demand for contracted and outsourced services is assessed and assesses the supply is available to meet that demand. • Ensures that the contract strategy requirements are included in all contracts. • Ensures that the contract delivery method is assessed and applied. • Ensures that contract models, payment methods and contract templates are used. • Responsible with respect to contracts are aligned to Glencore Copper standards. • Ensures the identification of maintenance contract stakeholders and the assessment of risky activities. • Ensures that contract deliverables are clearly defined. • Ensures that contracts are complete in a timely manner. • Responsible for the identification of tendering requirements, the development of the tendering process and the development of the contract. • Ensures that tenderers are given sufficient time for tender evaluation and response. • Ensures that the contract is awarded to the successful tenderer. • Ensures that management controls are identified, documented and implemented for outsourced activities • Ensures that outsourced activities are well documented including technical requirements and specifications and ownership of such documentation is identified and managed. • Ensures that process for the sharing of information between parties is established. • Ensures that OEM is the preferred sourcing strategy and that OEM's are provided the opportunity for improvement involvement. • Ensure that the org. structure, roles and responsibilities are defined to enable management of outsourced activities. • Ensures that regular audits of outsourced activities. • Ensures that learning opportunities are the responsibility of both the contractor and site. • Ensures that reviews are conducted with contractors and the review periods. • Ensures that contract activities are managed in line with the contract. • Ensures that the performance of contractors and OEM performance is reviewed. • Responsible with respect to having competent and experienced people to manage contracts. • Ensures that contracts and contractor improvements are identified and tracked and that contracts are closed out include the development of a close out report.
Maintenance Planning and Execution	• Responsible with regard to the demand for contracted and outsourced services are assessed and assesses that supply is available to meet that demand. • Provides input regarding the contract strategy requirements which are to be included in all contracts, the contract delivery method is assessed and applied. • Provides input regarding the selection of contract models payment methods and contract templates. • Provides input regarding the identification of maintenance contract stakeholders and the assessment of risky activities. • Responsible with respect to clearly defining contract deliverables.

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	• Responsible for contract completion in a timely manner. • Provides input into the sourcing of contractors and contract award. • Responsible with regards to contract implementation • Provides input into contractor delivery and management. • Provides input regarding the assessment of site contract management competency.
Contract Support	• Responsible with regards to demand for contracted and outsourced services are assessed and assesses that supply is available to meet that demand. • Responsible with regards to the contract strategy requirements which are to be included in all contracts, the contract delivery method is assessed and applied. • Ensures that the correct contract templates are used and that contracts align to Glencore standards. • Responsible with regards to the identification of maintenance contract stakeholders and the assessment of risky activities. • Provides input with respect to contract deliverables are clearly defined. • Provides input with respect to completing contracts in a timely manner. • Ensures the identification of tendering requirements, the development of the tendering process and is responsible the development of the contract. • Responsible with regards to the sourcing of contractors and contract award. • Provides input regarding the establishment of process for the sharing of information. • Provides input regarding the involvement of OEM's. • Responsible with regards to ensuring that information is captured in Glencore systems. • • Provides input with regards to audits are conducted on contractor activities and that reviews are conducted with major contractors. • Responsible with respect to learning are integrated in site systems. • Provides input regarding the performance of contractors and OEM performance is reviewed. • Ensures that site has competent and experienced people to manage contracts. • Responsible with respect to contracts and contractor improvements are identified and tracked and that contracts are closed out include the development of a close out report.
Operations Management	• Responsible with respect to demand for contracted and outsourced services is assessed and assesses supply is available to meet that demand. • Provides input regarding the contract strategy requirements which are to be included in all contracts, the contract delivery method is assessed and applied. • Provides input regarding the identification of maintenance contract stakeholders and the assessment of risky activities. • Provides input with respect to contract deliverables are clearly defined. • Provides input into the sourcing of contractors and contract award. • Provides input regarding the implementation of contracts. • Provides input into contractor delivery and management.
Sourcing	• Responsible with respect to demand for contracted and outsourced services is assessed and assesses supply is available to meet that demand. • Responsible with respect to the contract strategy requirements which are to be included in all contracts. • Provides input regarding the contract delivery method is assessed and applied. • Provides input regarding the use of the appropriate contract delivery method, contract model, payment method and contract template. • Provides input with respect to the identification of maintenance contract stakeholders and the assessment of risky activities. • Provides input with respect to contract deliverables are clearly defined. • Provides input with respect to contracts are complete in a timely manner. • Provides input regarding the sourcing of contractors and contract award. • Provides input regarding the org. structure, roles and responsibilities are defined to enable management of outsourced activities.

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	• Provides input with respect to the documenting of outsourced activities. • Provides input regarding contract implementation with respect to implementing management controls, knowledge sharing processes, the involvement of OEM's and assigning responsibilities for contract implementation. • Responsible for capturing contract information and learnings within site systems, auditing of outsourced activities and review with contractors. • Provides input with site competencies regarding contract management are established and assessed. • Provides input regarding improvement opportunities are tracked and contacts are closed.
HSEC	• Provides input regarding demand for contracted and outsourced services is assessed and assesses the supply is available to meet that demand. • Provides input regarding the contract strategy requirements which are to be included in all contracts, the contract delivery method and model is assessed and applied. • Provides input with respect to using contact templates. • Provides input regarding the identification of maintenance contract stakeholders and the assessment of risky activities. • Provide input to the assessment of high-risk activities assessment and control. • Provides input into the sourcing of contractors and contract award. • Provides input regarding the implementation of contracts. • Responsible with respect to information and learnings to be captured in site systems, audits of outsourced activities and conducting reviews with contractors. • Provides input with respect to the management of contractor activities. • Provides with respect to performance reviews of OEM's and contractors. • Provides input with respect to the tracking of improvement and the close out of contracts. • Provides input regarding site competencies for contract management are established and assessed.
Reliability and Engineering	• Responsible with respect to demand for contracted and outsourced services is assessed and assesses supply is available to meet that demand. • Responsible with respect to contract strategy requirements are included in all contracts. • Responsible with respect to the contract delivery method is assessed and applied. • Responsible with respect to which contract models, payment methods and contract templates are used. • Provides input regarding the identification of maintenance contract stakeholders and the assessment of risky activities. • Responsible for contract completion in a timely manner. • Responsible for the identification of tendering requirements, the development of the tendering process and the development of the contract. • Responsible for ensuring that tenders are given sufficient time for tender evaluation and response. • Responsible for who the contract is awarded to. • Responsible for management controls for outsourced activities. • Responsible with respect to information and learnings to be captured in site systems, audits of outsourced activities and conducting reviews with contractors. • Responsible with respect to the management of contractor activities. • Responsible with respect to performance reviews of OEM's and contractors. • Responsible with respect to the tracking of improvement and the close out of contracts.
Legal	• Provides input with respect to demand for contracted and outsourced services is assessed and assesses supply is available to meet that demand. • Provides input regarding the contract strategy requirements which are to be included in all contracts and the contract delivery method and template is assessed and applied. • Provides input regarding the identification of maintenance contract stakeholders and the assessment of risky activities. • Responsible with respect to the development of contracts

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	• Provides input regarding management controls that are identified, documented and implemented for outsourced activities. • Provides input regarding establishing process for the sharing of knowledge. • Provides input regarding the assignment of responsibilities. • Responsible with respect to the capture of information and learnings in site systems. • Provides input regarding the auditing of outsourced activities and conducting contractor reviews. • Provides input regarding the execution and management of contracts.

5. Deployment

The deployment of the Maintenance Contracting and Outsourcing Management approach across all business areas is through:

- Awareness presentation
- Position description alignment
- Competency assessment
- Training, coaching and mentoring.

5.1 Awareness Presentation

This Manual is supported by a slide presentation and video to help facilitate communication and to raise awareness on how it contributes to the Asset Management Framework and business success.

5.2 Position Description Alignment

To effectively deploy this manual, the essential process steps and activities need to be diligently mapped and assigned to approved positions within Glencore Copper.

The RACI matrix assists in the visualisation that everyone is working towards the same goal. It clarifies, not only the individual's responsibilities, but also that of others. It has proven to be an effective tool to quickly understand and close the gaps between current and desired practices and business process activities.

Position descriptions including KPIs need to be aligned to the RACI matrix and measures of success. This is the basis for ongoing performance reviews and the creation and execution of individual development plans.

5.3 Competency Assessment

This Manual is supported by an Asset Management competencies assessment process and each site is responsible for assessing Asset Management competencies to:

- Guide recruitment, selection, development and deployment of people in asset management roles across the company.
- Provide employees responsible for managing assets with feedback, development, coaching and recognition for their performance.
- Map, build and manage the asset management talent pool across the company.
- Identify strengths and development needs in asset management practitioners.

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5.4 Training, Coaching and Mentoring

Coaching and mentoring are another way to assist employees improve their understanding of their role and to improve performance.

Coaching is generally about improving performance in the short term where mentoring is about achieving high performance and career aspirations over a longer term.

Coaching or mentoring requires addressing that a person is not currently up to the required level to perform their role as effectively and efficiently as they could. The build-up of skills to perform efficiently and effectively requires a large investment of time and cooperation.

Coaches and Mentors need to be carefully selected and must be committed for the long term to effect maximum success.

6. Improvement

The process to review and continually improve the approach and deployment for Maintenance Contracting and Outsourcing is scheduled Annually, or when there is a sudden change in the business strategic and operational requirements. As the organisation matures, a longer review period could be considered.

7. References

The following documents provide detailed support material that should be read in conjunction with this Standard to provide a comprehensive understanding of Maintenance Contracting and Outsourcing.

TABLE 7-1 REFERENCES

DOCUMENT TITLE	DESCRIPTION
Asset Management Framework	This document defines the overall direction of asset management across Glencore Copper.
Glencore – Contract Document Checklist User Form	Provides information pertaining the contract requirements.
Glencore – Contract Audit Checklist Form - User	Provides information pertaining the requirements to ensure that contractor comply to site policies, procedure and objectives.

8. Revision History

VERSION NO.	REASON FOR REVISION	DATE
0.1	New Manual to support the Asset Management Framework	26/07/2021
0.2	Gather Documents and Create Draft Manual	25/09/2021
0.3	Review and Signoff 1st Draft Manual with Sites	13/02/2022
0.4	Reformat and Issue for Final Review	12/04/2022
1.0	Update Site Signoff and Publish	30/05/2022

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9. Appendix A – Stakeholder Signoff

Stakeholder Name	Site or Department	Contact	Stakeholder Signoff
Anthony Green	Asset Management - Australia	Anthony.green@glencore.com.au	7/6/2022
Akeem Araoye	Asset Management – North America	Akeem.Araoye@glencore.ca	7/6/2022
Yuri Yurac	Asset Management – South America	Yuri.yurac@glencore.cl	8/6/2022
Lawrence Hlatshwayo	Asset Management – Africa	Lawrence.hlatshwayo@glencore.co.za	10/6/2022
Rohan Reisener	Asset Management - Australia	Rohan.reisener@glencore.com.au	7/6/2022
Dino Moll	Asset Management - Australia	Dino.Moll@glencore.com.au	13/6/2022

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Maintenance Contracting & Outsourcing

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Maintenance Contracting & Outsourcing

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